

CONTRACTS: CONSIDERATION AND INTERPRETATION

Mattei v. Hopper - Structural Polymer Group v. Zoltek - Wood v. Lucy, Lady Duff-Gordon

Assigned reading: pages 101-117; SEL; UCC Section 2-306

Parties / Procedural History / Material Facts / Question Presented / Holding / Reasoning

PART I - CASE BRIEFS

1. Mattei v. Hopper

51 Cal. 2d 119, 330 P.2d 625 (1958). Supreme Court of California, in bank. Spence, J. S.F. No. 19806; decided October 24, 1958. Appeal from a judgment entered after a bench trial.

Parties

Plaintiff / appellant: Peter O. Mattei, a real-estate developer assembling land for a shopping center. He signed the buyer's side of the deposit receipt, paid the deposit, pursued leases, and sought damages after the conveyance failed.

Defendant / respondent: Amelia F. Hopper, owner of the adjacent parcel. She offered to sell the property, later repudiated through counsel, and obtained judgment at trial. **Relevant third party:** Coldwell Banker & Company, the real-estate intermediary charged with obtaining leases satisfactory to Mattei.

Procedural History

Mattei filed an action for damages alleging that Hopper breached the parties' written land-sale agreement by failing to convey the parcel. The case was tried to the court without a jury. The trial court treated Mattei's satisfaction clause as leaving performance within his unrestricted choice, characterized the agreement as illusory and lacking mutuality, and entered judgment for Hopper.

Mattei appealed. The California Supreme Court reviewed the written instrument's legal effect and the consideration question. It held that the deposit receipt created a contract, that good faith governed Mattei's judgment about the leases, and that this enforceable obligation supplied consideration. The court reversed the judgment. Chief Justice Gibson and Justices Shenk, Carter, Traynor, and Schauer joined Justice Spence. Justice McComb dissented without an opinion.

Material Facts

Mattei planned a shopping center on a tract beside Hopper's land. A real-estate agent negotiated with Hopper for several months. Hopper rejected several proposals because the offered price was inadequate. She then submitted an offer, and Mattei accepted it the same day. Their writing used the agent's deposit-receipt form.

The stated purchase price was \$57,500. Mattei had to deposit \$1,000 with the agent. The agreement gave him 120 days to examine title and consummate the transaction. At the end of that period, the balance became payable when Hopper tendered a good and sufficient deed. The concluding provision stated that the transaction was subject to Coldwell Banker obtaining leases satisfactory to the purchaser.

The lease provision served the shopping-center project. Mattei wanted time to secure tenant commitments before paying the balance and taking title. The commercial value of the assembled site depended on lease features that included term length, renewal rights, covenants, restrictions, rent, tenant creditworthiness, and the nature of each tenant's business.

Mattei paid the \$1,000 deposit and worked to obtain leases. Before the 120-day period expired, Hopper's attorney informed him that Hopper would decline to sell on the deposit receipt's terms. Hopper later received notice that satisfactory leases had been obtained and that Mattei offered the unpaid purchase price. Hopper withheld the deed required by the writing.

Question Presented

Two connected questions: (1) Did the signed deposit receipt create an immediate contract whose performance was conditioned on Mattei's obtaining satisfactory leases? (2) Did the satisfaction provision impose a legally enforceable standard on Mattei's judgment and thereby preserve consideration for Hopper's conveyance promise?

Holding

Contract formation: The deposit receipt created a binding contract when the parties signed it. The lease clause made Mattei's duty to complete the purchase conditional on obtaining leases satisfactory to him and gave him a contractual power to terminate if that condition failed. **Consideration:** Mattei had to evaluate the leases through honest, good-faith judgment. That legal duty restricted his discretion and made his promise sufficient consideration. **Disposition:** Judgment for Hopper reversed.

Reasoning

Interpretation of 'subject to': The court read the entire deposit receipt as one transaction. The writing stated the property, price, deposit, performance period, deed tender, and lease condition. This structure formed a present agreement and located the satisfaction event within performance. The clause therefore allocated leasing risk to Mattei during the 120-day period.

Consideration and mutuality: In a bilateral contract, each exchanged promise must impose a legal obligation. A promise becomes illusory when its maker retains unrestricted freedom to perform or withdraw. The terms 'illusory promise' and 'lack of mutuality' identify the same formation inquiry: whether the exchange contains consideration. Modern doctrine states the point through Restatement (Second) Section 79: once consideration exists, mutuality supplies no additional requirement.

Two satisfaction standards: A satisfaction condition concerning commercial value, quality, operative fitness, or mechanical utility ordinarily uses an objective reasonable-person standard. A condition concerning taste, fancy, or judgment uses the promisor's actual judgment, governed by honesty and good faith. The selected standard comes from the subject matter the parties assigned to the promisor.

Classification of the leases: Shopping-center leases required evaluation of many interacting factors: duration, renewal options, covenants, restrictions, rent, financial responsibility, and business mix. Those considerations called for business judgment. Mattei therefore possessed subjective evaluative authority coupled with a duty to exercise that authority honestly and in good faith. Genuine dissatisfaction with the proposed leases could excuse his purchase performance; a strategic or fabricated claim of dissatisfaction would breach the agreement.

Why the good-faith duty supplies consideration: Mattei promised to accept leases that satisfied his honest judgment and to complete the purchase when that condition occurred. Hopper could challenge a refusal by proving that Mattei's stated dissatisfaction lacked genuineness. That exposure to judicial review created a real legal detriment and supported the reciprocal conveyance promise.

Third-party performance: The leases came from prospective shopping-center tenants; Hopper's promised performance was conveyance of the land. The court applied the same good-faith standard because the contract made those leases the condition by which Mattei's performance would be measured. Mattei's evaluative duty retained the same content when applied to third-party leases.

Doctrinal history: Earlier mutuality formulations often asked whether a court could compel each side at formation. Satisfaction cases developed enforceable standards for apparently broad discretion. The First Restatement Section 265 and the Williston and Corbin treatises treated a satisfaction promise as an undertaking to exercise honest judgment. *Mattei* used that established approach to connect interpretation, implied good faith, and consideration.

Prior California dicta: *Lawrence Block Co. v. Palston* described buyer-approval clauses as unrestricted because judgment lacked a reasonable-person measure. Its actual result rested on an unaccepted counteroffer. *Pruitt v. Fontana* repeated that language, while its result concerned a later oral agreement and estoppel against a statute-of-frauds defense. *Mattei* disapproved the dicta to the extent they treated objective reasonableness as the only enforceable standard. Honest good faith supplies the standard for judgment-based satisfaction.

Rule and application sequence: Identify the promised performance; decide whether the disputed language creates a formation condition or a performance condition; classify the subject of satisfaction; select objective reasonableness or subjective good faith; then ask whether that standard meaningfully restricts discretion. Here, the signed receipt formed the contract, lease acceptability involved judgment, and good faith bound Mattei.

2. Structural Polymer Group, Ltd. v. Zoltek Corp.

543 F.3d 987 (8th Cir. 2008). U.S. Court of Appeals for the Eighth Circuit. Colloton, J., joined by Shepherd, J., and Erickson, D.J., sitting by designation. Nos. 07-2057 and 07-2171; submitted January 14, 2008; filed October 8, 2008.

Parties

Plaintiffs / appellees / cross-appellants: Structural Polymer Group, Ltd. and Structural Polymer Systems, Ltd., British corporations referred to together as SP. They manufactured prepreg, bought carbon fiber, obtained a jury verdict for lost profits, and sought restoration of the vacated alternative award. **Defendant / appellant / cross-appellee:** Zoltek Corporation, a Missouri corporation that manufactured carbon fiber. It supplied SP under the 2000 agreement, left the 2005 and 2006 orders unfilled, and challenged liability and damages after trial.

Procedural History

On February 22, 2005, SP sued Zoltek in the U.S. District Court for the Eastern District of Missouri for breach of the 2000 Supply Agreement. SP sought lost profits through December 31, 2006, future lost profits through the contract's December 31, 2010 end date, and specific performance. The dispute included whether the agreement covered Panex 35 after Zoltek discontinued Panex 33. SP pleaded alternative counts tied to Panex 35 and Panex 33.

During trial, Zoltek sought to present lack of mutuality as a basis for treating the Supply Agreement as unenforceable. District Judge Carol E. Jackson classified the contention as an affirmative defense omitted from Zoltek's answer, denied a late amendment, and independently held that the writing contained consideration as a matter of law. The court also found insufficient evidence for Zoltek's requested abandonment instruction.

On November 29, 2006, the jury found for SP and awarded \$21,138,518 on the Panex 35 calculation and \$14,906,377 on the alternative Panex 33 calculation, a combined \$36,044,895 in past lost profits. It declined future lost profits. Because SP's counts sought alternative recovery for the same maximum quantity of large-tow fiber, the district court granted relief under Federal Rule of Civil Procedure 59(e), vacated the \$14,906,377 component as duplicative, and entered a \$21,138,518 judgment.

Zoltek moved under Rule 50(b) for judgment as a matter of law and under Rule 59(a) for a new trial on liability and damages. The district court denied both motions. Zoltek appealed. SP cross-appealed the Rule 59(e) reduction and initially challenged the denial of specific performance. SP terminated the Supply Agreement effective February 29, 2008 and withdrew the specific-performance portion of its cross-appeal.

The Eighth Circuit reviewed the Rule 50(b) ruling de novo, viewing the record in the verdict winner's favor and asking whether a reasonable jury could reach the verdict. It reviewed denial of a new trial, evidentiary rulings, jury instructions, and the Rule 59(e) alteration under abuse-of-discretion standards. The court affirmed the judgment in full.

Material Facts

Carbon fiber consists of filament bundles. The parties used 'large-tow' or Large Filament Count fiber for bundles containing at least 48,000 filaments. 'Small-tow' fiber commonly contained 24,000 or fewer filaments, cost more to make, and offered superior quality. SP wove carbon fiber into textile-like sheets and impregnated them with resin to produce prepreg, a strong, light material that builders could mold into products such as wind-turbine blades.

In November 2000, Zoltek and SP entered a Supply Agreement running from November 6, 2000 through December 31, 2010. Zoltek promised to manufacture and sell all of SP's requirements for Large Filament Count Carbon Fibers meeting the Panex 33 specifications at the then-current market price. SP promised to obtain from Zoltek its total requirements for carbon fiber of suitable quality in SP's reasonable opinion. Annual volume could reach the quantity SP actually purchased in the preceding contract year plus one million pounds.

The agreement also contained price protection. When another supplier offered large-tow fiber at a lower market price, Zoltek had a right of first refusal. A matching offer by Zoltek required SP to purchase from Zoltek; a decision by Zoltek to leave the price unmatched permitted SP to purchase from the competing source. The mechanism preserved Zoltek's supply position whenever it met the market offer.

The parties formed the agreement to develop large-tow carbon fiber as a lower-cost alternative in the wind-energy market, where manufacturers then used mostly small-tow fiber. Zoltek produced Panex 33 before April 2002. SP bought 28,219.17 pounds in 2000 and 20,943.91 pounds in 2001. SP ordered 1,763.70 pounds in 2002 and returned it for asserted quality defects.

In April 2002, Zoltek ended Panex 33 production and introduced Panex 35, another large-tow product. SP's 2003 requirements produced zero orders for either product. It ordered and received 548,935 pounds of Panex 35 in 2004. The litigation concerned a 1,480,138-pound Panex 35 order in 2005 and SP's claimed entitlement to 2,480,138 pounds in 2006. Both disputed orders remained unfilled.

SP also bought small-tow fiber from other sellers. Trial evidence described small-tow and large-tow as distinct products with different quality and applications. Zoltek argued that their functional interchangeability let SP manipulate its large-tow requirements. The jury found that SP performed its contractual obligations.

Question Presented

Primary consideration question: Did SP's promise to buy its total good-faith requirements of suitable large-tow carbon fiber from Zoltek, subject to an annual quantity cap and Zoltek's price-matching right, supply consideration even though SP began with zero large-tow requirements and retained judgment about quality? Additional appellate questions concerned abandonment, evidentiary rulings, proof and instruction of lost profits, the Gamesa shipment, and duplication of the alternative verdicts.

Holding

Consideration: The Supply Agreement contained mutuality and consideration as a matter of Missouri law. UCC Section 2-306 imposed good faith on SP's requirements, the quality phrase used SP's reasonable opinion, the annual cap constrained expansion, and Zoltek's right to match a competing price preserved the purchase obligation. **Other rulings:** The trial judge properly withheld an abandonment instruction; the court's curative directions resolved the evidentiary concern; sufficient evidence and a proper Missouri instruction supported the past lost-profit award; the Gamesa transaction fell outside the offset calculation; and the second alternative award duplicated the first. **Disposition:** Affirmed on Zoltek's appeal and SP's cross-appeal.

Reasoning

Mutuality is a consideration inquiry: Zoltek's mutuality argument asserted that SP's side of the exchange imposed no legal detriment. The Eighth Circuit invoked Restatement (Second) Section 79 and Missouri decisions: satisfaction of the consideration requirement completes the formation inquiry, and mutuality supplies no separate element. Missouri ordinarily treats the sufficiency of consideration in a written agreement as a question of law for the court.

Zero requirements at formation: Missouri's enactment of UCC Section 2-306(1), Mo. Rev. Stat. Section 400.2-306(1), measures quantity by the buyer's actual requirements occurring in good faith. SP therefore promised to order its genuine large-tow needs from Zoltek. A zero level could result from a good-faith operation of SP's business. A zero level chosen to divert covered demand or escape the bargain could support a breach claim. The enforceable good-faith standard supplied consideration from the outset.

Formation and performance: The writing's enforceability depended on the legal constraint governing SP's quantity decisions. SP's actual order pattern concerned performance under that constraint. A claimed manipulation of requirements therefore presented a breach theory for the jury while the good-faith promise continued to supply consideration at formation.

Price protection: The right of first refusal created a defined sequence. SP could present a lower third-party offer; Zoltek could match it; a match bound SP to buy from Zoltek; and an unmatched price opened third-party purchasing. Because Zoltek controlled whether it would meet the market price and a match activated SP's purchase duty, the clause preserved a real obligation.

Product substitution: Large-tow fiber was the contract's requirements category. SP's acquisition of small-tow fiber from other suppliers could constitute breach if SP used an interchangeable product in bad faith to divert a covered large-tow requirement. The jury found SP's performance compliant. Distinct product evidence also supported treating the purchases as outside the large-tow category.

Abandonment: Zoltek relied at trial on SP's absence of orders from February 2002 into early 2004. Under Missouri law, unilateral abandonment based on specified acts can be resolved by the court; mutual abandonment requires positive and unequivocal conduct supporting a shared intent to end the contract. UCC Section 2-306 permits a buyer's requirements to reach zero through good-faith business operation. The two-year order gap therefore remained compatible with continued performance and fell short of the abandonment standard.

After the verdict, Zoltek invoked the parties' April 2004 Panex 35 Supply/Purchase Agreement as proof of mutual abandonment of the 2000 agreement. At trial, Zoltek had used that document to argue that Panex 35 fell outside the 2000 agreement. The later mutual-abandonment theory arrived after the relevant instruction stage and was unpreserved. The district court properly withheld the requested instruction on the theory actually presented.

Evidentiary rulings: At a preliminary-injunction hearing, Zoltek's attorney Alan Kohn stated that Zoltek was ready, willing, and able to perform the older Panex 33 contract while disputing Panex 35 coverage. SP used the statement at trial. The appellate court held that its admission supported the existing trial result. When SP purchasing manager Paul Lyon referred to a supposed prior judgment requiring Panex 33 supply, the district judge sustained Zoltek's objection, struck the statement, immediately directed the jury to disregard it, and later confined the jury's consideration to admitted evidence. Those directions cured the risk of prejudice.

Lost-profit proof: Missouri allows lost profits naturally and proximately caused by breach, within the parties' contemplation, and established with reasonable certainty. SP expert Donna Smith used ordinary-course budgets, a managing director's lost-sales summary concerning Vestas and Gamesa, management discussions, depositions, Zoltek public reports, market-shortage evidence, SP's processing capacity, and an actual 35 percent profit margin from the preceding eighteen months. She deducted avoided variable costs and calculated \$21,138,518 on 3,960,276 pounds of unfilled Panex 35 demand. Cross-examination supplied the means to test her assumptions, and the evidence allowed the jury to find the past loss with reasonable certainty.

Gamesa transaction: A separate Zoltek-Gamesa contract allowed Gamesa to select a prepreg processor, and Gamesa selected SP. Gamesa and Zoltek negotiated the agreement and controlled its price and quantity; SP processed the fiber and transferred it to Gamesa. Testimony supported treating the shipment as performance of Gamesa's contractual right. The jury therefore properly kept the \$13,353,696 shipment outside the 2000 Supply Agreement offset. SP disclosed the underlying data well before trial, giving Zoltek adequate time to meet the revised alternative calculation submitted twenty-two days before trial.

Instruction and duplicated verdict: The district court used Missouri Approved Instruction 4.01, directing fair compensation for loss directly caused by breach and reasonable certainty for future loss. Read in context, the instruction conveyed Missouri's certainty requirement for lost profits. SP pleaded Panex 35 recovery and Panex 33 recovery in the alternative. The annual formula allowed a maximum of 3,960,276 pounds of covered large-tow fiber, satisfied through Panex 35 or Panex 33. Adding both awards compensated 6,960,276 pounds and exceeded that ceiling. Rule 59(e) permitted the district court to remove the duplicate \$14,906,377 component.

Doctrinal significance: The case shows three distinct controls on discretion: an implied good-faith quantity standard under Section 2-306, an express reasonable-opinion quality standard, and an express annual cap. It also separates an enforceable requirements promise at formation from a later allegation that the buyer exercised its discretion in bad faith.

3. Wood v. Lucy, Lady Duff-Gordon

222 N.Y. 88, 118 N.E. 214 (1917). New York Court of Appeals. Cardozo, J. Argued November 14, 1917; decided December 4, 1917. Review of 177 A.D. 624, 164 N.Y.S. 576 (App. Div. 1st Dep't 1917).

Parties

Plaintiff / appellant in the Court of Appeals: Otis F. Wood, a marketer with a business organization suited to placing commercial endorsements. The agreement gave him exclusive marketing and licensing authority, and he sued for the share of revenues lost through independent endorsements. **Defendant / respondent:** Lucy, Lady Duff-Gordon, a prominent fashion creator whose personal approval increased the market value of designs and products. She granted the exclusive rights, retained approval authority, later made endorsements independently, and attacked the agreement's consideration on the pleadings.

Procedural History

Wood filed a contract action alleging that Lady Duff-Gordon violated his exclusive rights by endorsing articles outside his agency and withholding the resulting profits. The complaint set out the signed written agreement in full. Lady Duff-Gordon used the New York code-pleading procedure described in the reports as a demurrer and as a motion for judgment on the pleadings. The motion accepted the complaint's well-pleaded facts for purposes of testing whether they stated a legal cause of action.

Special Term denied Lady Duff-Gordon's motion, allowing Wood's claim to proceed. The Appellate Division, First Department, unanimously reversed on April 20, 1917. Justice Davis read the writing as requiring Wood to collect and divide revenues only when he elected to arrange an endorsement, sale, or license. Because the text stated no express undertaking to generate such transactions, the intermediate court held that Wood's promises supplied neither mutuality nor consideration and granted judgment on the pleadings for Lady Duff-Gordon. 177 A.D. 624, 164 N.Y.S. 576.

Wood appealed to New York's highest court. The Court of Appeals reversed the Appellate Division and affirmed Special Term, with costs in both appellate courts. Judge Cardozo wrote for a four-judge majority joined by Judges Cuddeback, McLaughlin, and Andrews. Chief Judge Hiscock and Judges Chase and Crane dissented without separate opinions. The ruling resolved only the legal sufficiency of Wood's contract claim; the merits of performance, breach, and damages remained for later adjudication.

Material Facts

Lady Duff-Gordon's approval and name carried commercial value in fashion markets. Manufacturers paid for her endorsement, and her own fabrics, garments, parasols, and related designs gained value when marketed under her name. She retained Wood to convert that commercial influence into licensing and sales revenue.

The signed agreement gave Wood, subject to Lady Duff-Gordon's approval, the exclusive right to place her endorsement on other creators' designs. It also gave him the exclusive right to sell her own designs or license others to manufacture and market them. The arrangement began April 1, 1915, ran for at least one year, and continued from year to year unless terminated by ninety days' notice.

Lady Duff-Gordon's compensation consisted of one-half of all profits and revenues generated by contracts Wood made under the exclusive agency. Wood promised to collect the revenues, remit her share, account monthly for all money received, and obtain patents, copyrights, and trademarks when his judgment found them useful to protect affected names, ideas, and articles. The writing recited that Wood possessed a business organization adapted to placing the endorsements she approved.

Wood alleged full performance on his side. He further alleged that Lady Duff-Gordon independently endorsed fabrics, dresses, and millinery for valuable consideration, excluded him from the transactions, and retained the revenues. Those acts directly implicated the exclusivity grant and the agreed revenue division.

Question Presented

Does a signed exclusive marketing agreement supported by a revenue-sharing structure, monthly accounting duties, intellectual-property duties, and recitals identifying the marketer's specialized organization imply a promise that the marketer will use reasonable efforts, thereby supplying consideration for the fashion creator's exclusive grant?

Holding

Yes. Reading the complete writing in its commercial setting, Wood assumed a duty to use reasonable efforts to place Lady Duff-Gordon's endorsements and market her designs. That implied promise supplied consideration and made her exclusivity promise enforceable. The complaint therefore stated a contract claim. The Court of Appeals reversed the Appellate Division and affirmed Special Term's denial of judgment on the pleadings.

Reasoning

Whole-agreement interpretation: Cardozo drew the obligation from the agreement's recitals, grants, compensation formula, duration, and express administrative duties. Contractual meaning arose from how those provisions operated together in the parties' planned business. The court used implication to articulate the performance commitment carried by the transaction's structure.

Exclusivity: For at least one year, Lady Duff-Gordon placed her endorsement and designs within Wood's sole commercial channel. Wood's acceptance of that exclusive agency carried the duty to operate the channel. Exclusivity concentrated marketing authority in him and made his performance essential to the exchange.

Recital and institutional capacity: The agreement identified Wood's business organization as adapted to placing approved endorsements. That recital supplied a concrete intended use for his organization. It linked the grant to Wood's existing capacity and supported an undertaking to deploy that capacity for the agreed purpose.

Compensation design: Lady Duff-Gordon received half of the revenue produced through Wood's contracts. Her contractual return therefore depended directly on his efforts. A reasonable-efforts duty gave the revenue-sharing formula the business efficacy the parties assigned to it and protected the value she transferred through exclusivity.

Express downstream promises: Wood had to collect and divide money, provide monthly accounts, and secure or protect intellectual-property rights when his judgment called for it. Those duties presupposed commercial activity producing contracts, revenue, and protectable interests. They reinforced the implication that he would make reasonable efforts to bring those predicates into existence.

Content of the implied term: 'Reasonable efforts' creates an objective performance obligation informed by the market, the enterprise, the parties' purpose, available opportunities, and Wood's represented business capacity. It requires diligent pursuit of the exclusive undertaking while preserving business judgment about particular proposed transactions, each of which remained subject to Lady Duff-Gordon's approval.

Consideration: Lady Duff-Gordon exchanged exclusive commercial rights for Wood's promised efforts, revenue administration, profit sharing, accounting, and protective work. The implied efforts term exposed Wood to breach liability for an unreasonable failure to develop the business. That legal commitment supplied the bargained-for obligation supporting her promise.

Historical setting: The Appellate Division used a formal mutuality inquiry focused on an express sentence compelling Wood to procure deals. Cardozo's approach reflected a broader early-twentieth-century movement toward reading agreements in their commercial context. He relied on *The Moorcock*'s business-efficacy reasoning and New York exclusive-agency authorities. The result treats implication as interpretation of the parties' manifested transaction.

Connection to UCC Section 2-306(2): Article 2 later stated a parallel rule for goods: a lawful exclusive-dealing agreement ordinarily imposes best efforts on the seller to supply and on the buyer to promote. *Wood* supplies the common-law model for deriving an efforts obligation from exclusivity and commercial purpose.

Pleading significance: The Court of Appeals accepted Wood's allegations at this stage and determined that the writing could support enforcement. Wood would still bear the burden of proving his own performance, Lady Duff-Gordon's breach, causation, and damages. Lady Duff-Gordon could litigate whether her challenged transactions fell within the grant and whether Wood satisfied his implied duty.

Rule and application sequence: Read every express term and recital; identify the transaction's evident purpose; determine whether exclusivity or compensation makes performance by one side essential; formulate the minimum term that gives the exchange its intended operation; then test whether that implied term supplies a legal obligation. Here, reasonable efforts fit the writing and completed the consideration analysis.

PART II - ASSIGNED PRIMARY TEXTS

4. Contract in *Wood v. Lucy, Lady Duff-Gordon (SEL)*

Agreement effective April 1, 1915. Assigned SEL document; provisions are organized with the descriptions in the pleaded writing reported at 177 A.D. 624 and the Court of Appeals' construction at 222 N.Y. 88.

Parties

Grantor and fashion creator: Lucy, Lady Duff-Gordon, whose name, personal approval, original designs, and fashion reputation formed the licensed commercial assets. **Exclusive marketer and license arranger:** Otis F. Wood, whose organization and judgment formed the distribution and contracting mechanism. The agreement coordinates Lady Duff-Gordon's approval power with Wood's market-development role.

Procedural History / Source Function

Wood attached or reproduced the writing in his complaint. Its terms therefore supplied the object of Lady Duff-Gordon's motion for judgment on the pleadings. The Appellate Division isolated Wood's express conditional duties and found consideration absent. The Court of Appeals read the complete instrument and implied reasonable efforts. The SEL contract should be read at both levels: first as drafted terms allocating authority and revenue; then as the text interpreted in the reported opinions.

Material Terms

Recitals: The writing identifies Lady Duff-Gordon's unique and high position as a creator of fashion in America, England, and France. It states that her personal approval and endorsement over her name carry distinct monetary value for manufacturers of fashion articles, fabrics, and accessories. It also identifies Wood's business organization as adapted to placing endorsements she approves.

Endorsement grant: Wood receives the exclusive authority to place Lady Duff-Gordon's endorsement on the designs and articles of others. Lady Duff-Gordon retains approval over the use of her name and endorsements. Within that approval structure, Wood uses his judgment to identify placements advantageous to her and to arrange the resulting contracts.

Original-design grant: Wood also receives the exclusive authority to sell Lady Duff-Gordon's own creations or license others to manufacture and sell them. The two grants cover separate revenue streams: endorsement of third-party products and commercialization of products she created.

Collection and revenue division: Wood collects the profits and revenues generated by endorsements, sales, and licenses. Lady Duff-Gordon receives one-half of the resulting profits and revenues. Wood receives the balance and bears the costs associated with securing the revenues as described in the reported writing. He must account to her monthly for money received.

Intellectual-property protection: Wood must obtain the patents, copyrights, or trademarks that his judgment finds necessary to protect names, ideas, rights, and articles affected by the agreement. He also controls protective proceedings through his judgment. The parties share the expenses of obtaining and protecting those rights equally.

Duration and termination: The exclusive arrangement begins April 1, 1915 and lasts for at least one year. It then continues in annual periods. A party may end a renewal through ninety days' notice. This guaranteed initial period gives Wood time to develop opportunities and gives Lady Duff-Gordon a defined interval in which her commercial rights move through his agency.

Approval and judgment: Lady Duff-Gordon controls approval of proposed uses of her name and fashion authority. Wood controls market selection and the business judgment involved in placement, licensing, intellectual-property registration, and protective proceedings. These paired powers divide creative-brand control from commercial execution. Each judgment must be exercised consistently with the agreement's purpose and the general duty of good faith.

Question Presented

What enforceable exchange and performance standard emerge from the contract's recitals, two exclusive grants, approval allocation, revenue sharing, monthly accounting, intellectual-property duties, cost sharing, and fixed initial term?

Holding / Operative Construction

The express terms create an exclusive commercialization arrangement. Lady Duff-Gordon supplies her name, approval, designs, and exclusive access; Wood supplies the exclusive agency, commercial judgment, collection and accounting services, intellectual-property work, and reasonable efforts to generate endorsements, sales, and licenses. The reasonable-efforts duty arises from the complete structure and supplies the consideration supporting the grant.

Reasoning

The contract's architecture: The recitals identify the commercial asset and Wood's capacity. The grants transfer control over defined revenue channels. The approval clauses protect the brand. The accounting and intellectual-property clauses administer transactions. The duration gives the enterprise time to operate. The compensation clause makes successful development the source of both parties' return. Together, those provisions describe an operating relationship.

Express and implied obligations: The writing states collection, division, accounting, registration, protection, cost sharing, approval, and exclusivity expressly. Reasonable efforts supplies the level of market-development activity that connects those clauses. This implied term follows from the parties' manifested design and defines conduct a court can evaluate.

Why exclusivity matters: Lady Duff-Gordon places the covered commercialization channels in Wood's hands during the term. His control over the only authorized channel creates responsibility to cultivate it. Her reciprocal exclusivity duty requires her to route covered endorsements, sales, and licenses through the agreed relationship and share resulting revenues.

Why compensation matters: Wood's efforts produce the fund the parties divide. A one-half share gives each party an incentive to approve and pursue valuable transactions. The implied duty addresses agency inactivity; Lady Duff-Gordon's approval right addresses uses that could harm her name or conflict with her creative judgment.

Standards of performance: Reasonable efforts evaluates Wood's overall pursuit of opportunities. Good faith governs each party's discretionary powers. Monthly accounting measures revenue administration. The IP clause uses Wood's judgment within the protective purpose. Lady Duff-Gordon's approval power operates within the exclusive relationship and the covenant of good faith.

Cold-call distinction: The Appellate Division asked whether the document contained an express command requiring Wood to produce endorsements, sales, or licenses. The Court of Appeals asked what commitment the document as a whole conveyed. The latter method uses exclusivity, purpose, and payment design as evidence of an implied promise and preserves each express allocation of judgment.

Connection to the assigned doctrine: The document illustrates interpretation performing work within consideration doctrine. Once reasonable efforts is part of Wood's promise, he incurs legal detriment and Lady Duff-Gordon receives a bargained-for performance commitment. UCC Section 2-306(2) later supplies a comparable best-efforts term by statute for exclusive dealing in goods.

5. UCC Section 2-306 - Output, Requirements, and Exclusive Dealings

Uniform Commercial Code Article 2. Quantity and efforts rule for sales of goods. The brief paraphrases the enacted text and organizes Official Comments 1-5; Missouri applies the provision through Mo. Rev. Stat. Section 400.2-306.

Parties / Governing Actors

Output contract: a seller commits the quantity its business actually produces, and the buyer commits to take that defined output under the agreement. **Requirements contract:** a buyer commits the quantity its business actually needs, and the seller commits to supply that defined demand. **Exclusive dealing:** a seller or buyer grants the other an exclusive channel for the kind of goods concerned. Article 2 applies because each arrangement concerns a sale of goods.

Procedural History / Source Status

Section 2-306 is a statutory contract-construction rule adopted through state commercial codes. It supplies quantity and performance content when parties use output, requirements, or exclusive-dealing terms. Official Comment 1 explains that the section reads commercial background, intent, and good faith into the agreement. The rule covers manufacturers and nonproducing enterprises such as dealers and distributors.

Material Text and Rules

Subsection (1): A quantity measured by seller output or buyer requirements means the party's actual quantity occurring in good faith. A tender or demand also must remain within a proportion reasonably related to a stated estimate. When the agreement contains no estimate, normal or otherwise comparable prior output or requirements supplies the reference point.

Subsection (2): A lawful exclusive-dealing agreement carries reciprocal efforts duties unless the parties agree to a different allocation. The seller must use best efforts to supply the goods. The buyer must use best efforts to promote their sale. The duties arise through the Code as terms of the agreement.

Question Presented

How does Article 2 give definite, enforceable content to sales agreements whose quantity depends on one party's future business activity or whose performance depends on an exclusive distributor's future efforts?

Holding / Operative Effect

Section 2-306 validates these agreements by measuring quantity through actual good-faith output or requirements, constraining substantial variation through estimates or comparable history, and attaching best-efforts obligations to lawful exclusive dealing. These standards create enforceable promises while preserving the quantity flexibility the parties selected.

Reasoning

Commercial purpose: Fixed quantities fit transactions with predictable volume. Output and requirements terms serve businesses whose production or demand changes with ordinary operations. Section 2-306 enforces that chosen flexibility through commercial standards and uses the enterprise's actual good-faith activity as the quantity measure.

Good faith as the quantity measure: The party controlling the variable quantity must operate the relevant plant or business honestly and according to commercial standards of fair dealing in the trade. The resulting actual output or demand defines the quantity. A decision designed to recapture a contract price advantage, divert covered business, or manufacture demand for opportunistic gain violates that standard.

Elasticity and cessation: Ordinary good-faith variation can move materially from earlier volume and can reach discontinuance. Official Comment 2 gives a requirements buyer's shutdown for lack of customer orders as a permissible example. A shutdown chosen solely to curtail losses under the particular contract supports a finding of bad faith. The factual inquiry asks why the business quantity changed and whether the reason fits fair commercial operation.

Expansion: Normal expansion undertaken in good faith falls within the agreement. A sudden enlargement that changes the enterprise used to measure output or requirements can exceed the contract's scope. A sharp market-price increase under a fixed-price requirements deal is relevant because it can reveal an effort to enlarge volume in order to exploit the contract price.

Estimates, prior dealings, and express limits: A stated estimate is the center around which the parties contemplated variation. Comparable prior output or requirements serves that role when the agreement gives no estimate. An express minimum or maximum marks a clear boundary on elasticity. The unreasonably-disproportionate limitation evaluates magnitude against those reference points, while good faith evaluates the commercial reason for the quantity decision.

Zero quantity: A buyer can have zero actual requirements when a good-faith business development eliminates demand. A seller can have zero output when a good-faith business development ends production. The promise remains enforceable because the party must determine quantity through the protected business activity and the statutory good-faith standard. *Structural Polymer* applies this principle to SP's period without large-tow orders.

Best efforts in exclusive dealing: Official Comment 5 describes reasonable diligence and good faith in supplying goods and expanding or promoting the market. The exclusive agent must make reasonable effort to develop the product's sales; the principal must support the exclusive channel and honor the agreed territorial or product exclusivity. 'Best efforts' is contextual and receives content from the product, market, duration, party capabilities, course of performance, and commercial practice.

Good faith and best efforts perform different functions: Subsection (1) polices the honesty and commercial legitimacy of the quantity generated by an output or requirements enterprise. Subsection (2) imposes affirmative diligence in supplying or promoting goods under exclusivity. An exclusive requirements arrangement can activate both standards.

Enterprise transfer: Official Comment 4 places the effect of selling the business under other law. When the contract continues after a transfer, the new owner's quantity remains measured by actual good-faith operation in relation to the enterprise's normal pre-sale operation. That normal operation also sets the boundary against a sudden strategic expansion or contraction.

Consideration: A requirements buyer gives up the contractual freedom to place genuine covered demand elsewhere; an output seller gives up the freedom to sell genuine covered production elsewhere. Good faith makes the quantity-setting discretion legally reviewable. Best efforts makes an exclusive distributor's or supplier's future activity legally reviewable. Each constraint supplies the commitment needed for consideration.

Statute of Frauds function: Output and requirements language identifies a quantity through the agreed measuring mechanism. In a signed Article 2 writing, that mechanism can satisfy the quantity-term function because Section 2-306 gives it definite legal content. Express estimates, minimums, maximums, product definitions, and market-price provisions further define the enforceable scope.

Connection to Wood: *Wood* implied reasonable efforts from the exclusive grant, the revenue share, the recital describing Wood's organization, and the parties' commercial purpose. Section 2-306(2) states a comparable default rule for exclusive dealing in goods. The common-law case demonstrates the interpretive reasoning; the Code supplies the term directly within its statutory field.

Connection to Mattei: The land sale falls outside Article 2. Its satisfaction clause and Section 2-306 share a method: discretion receives an enforceable standard through interpretation and background law. Mattei's honest judgment governs lease satisfaction; Section 2-306's good faith governs business-generated quantity.

Connection to Structural Polymer: SP promised its total requirements of suitable large-tow fiber, defined quality through its reasonable opinion, accepted an annual cap, and gave Zoltek a price-matching right. Missouri Section 400.2-306 supplied good faith. The combined express and implied constraints created consideration and directed later breach analysis.

Integrated exam sequence: (1) Classify the transaction as goods, services, land, or mixed. (2) Identify the variable term: satisfaction, requirements, output, or exclusivity. (3) Locate express controls such as estimates, caps, approval rights, price matching, duration, and accounting. (4) add the applicable background standard: reasonable person, honest good faith, reasonable efforts, or best efforts. (5) Decide consideration at formation by asking whether discretion is legally constrained. (6) Decide breach by applying that constraint to the later conduct. (7) Measure relief within the same quantity and causation limits.

Core synthesis: Each assigned authority treats interpretation as part of the consideration analysis. *Mattei* attaches honest judgment to a satisfaction condition. *Wood* derives reasonable efforts from an exclusive agency's structure. Section 2-306 attaches good faith to variable quantity and best efforts to exclusive dealing. *Structural Polymer* applies the Code rule and the parties' express safeguards to a long-term requirements contract. The enforceable standard turns future discretion into a promise a court can administer.